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INVESTMENT SCORECARD

CDNL

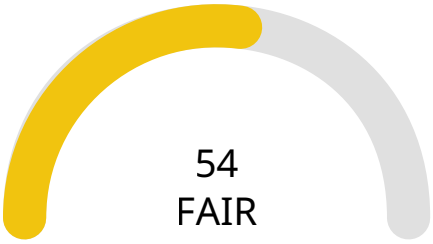
Cardinal Infrastructure Group Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$14.01 [Mkt 23-Oct-26]

Market Cap: $288M [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 40

Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins on FY2025, and a net cash position of $142M at June 30, 2026. Q2 2026 gross margin printed 10.8% as subcontracted labor and equipment rentals replaced self-performed work in developing markets. Cyclical, weather-exposed, no pricing power.

2. Recent Trend — 50

Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, GAAP gross margin printed 10.8%, EPS of $0.26 missed consensus of about $0.47, net income fell 35%, and the stock fell 36.2% in the August 11 session and 84% from its high. Seven insiders bought 221,597 shares for about $8.5M on August 14-17 at $36.26 to $40.12. Growth without profit, with securities investigations now open.

3. Forward Growth — 55

Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. Backlog of $866M is a record in dollars but growth slowed to +35% YoY from +60% in Q1. Hughes Brothers would add $220M of TTM revenue at a 25.0% adjusted EBITDA margin if it closes in Q4 2026. The margin guide was cut, integration is unproven, and civil construction is cyclical.

4. Valuation 72

DCF base $50.90 vs spot $14.01 implies 263% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -20.2% revenue CAGR, below the 6.0% bear case: the market prices contraction.

5. Catalysts & Risk 45

Q3 margin recovery is the make-or-break catalyst, and the Hughes Brothers close in Q4 2026 adds 5,255,420 shares plus an earnout of up to $162.5M. Risks dominate: execution risk on a small-cap base, ALGC integration, securities investigations announced by three firms in September and October, cyclical SE construction exposure, thin analyst coverage. Negatively skewed until margins stabilize.

Investment Thesis

- **Southeast Infrastructure Roll-Up:** Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K].
- **Margins Are the Whole Story:** Adj EBITDA margin fell to 12.4% from 18.6% and GAAP gross margin printed 10.8% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide to 16-18% from the 20%+ set in Q1, and EPS of $0.26 missed consensus of about $0.47. The market prices -20.2% implied revenue CAGR, below the 6.0% bear case [DCF model].
- **263% Upside If Execution Holds:** At $14.01 [Mkt 17-Oct-26], DCF base $50.90 implies 263% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but thin cash flow conversion is the sword of Damocles until margins recover. The discount opened on credibility, not demand: the June secondary offering sold 4.6M shares at $73.00 weeks before the margin guide came down, and the selling has continued through two acquisition announcements since.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 '26)	$226.9M [8-K]	+114% [8-K]	Up

Adj EBITDA Margin (Q2 '26)	12.4% [8-K]	-620 bps (18.6% PY) [8-K]	Down
Net Income (Q2 '26)	$4.7M [8-K]	-35% [8-K]	Down
FY2026 Revenue Guide (lifted)	$880-900M [8-K guid]	Raised from $665-678M [8-K guid]	Up
FY2026 EBITDA Margin Guide (cut)	16% to 18% [8-K guid]	Cut from 20%+ set in Q1 [8-K guid]	Down
EPS (Q2 '26)	$0.26 [8-K]	vs consensus about $0.47 [Mkt]	Down
Backlog (Q2 '26)	$866M [8-K]	+35% YoY, vs +60% in Q1 [8-K]	Up
Hughes Brothers Deal (pending)	$357.5M [8-K]	60% cash / 40% stock; close expected Q4 2026 [8-K]	Flat
Market Cap	$313M [Mkt 17-Oct-26]	-84% from 52w high $96.40 [Mkt 17-Oct-26]	Down
Forward P/E	4.5x [Mkt 17-Oct-26]	vs trailing 17.2x [Mkt 17-Oct-26]	Down

Historical Financial Trend

Metric	2024	2025	TTM	Q2 '26	FY2026E
Revenue	n/a [n/a]	$0.46B [10-K FY25]	$0.67B [Cons]	$0.23B [10-Q Q2 '26]	$880-900M [8-K guid]
Gross Margin	n/a [n/a]	21.1% [10-K FY25]	n/a [n/a]	n/a [n/a]	n/a [n/a]
Op Margin	n/a [n/a]	8.8% [10-K FY25]	7.0% [Cons]	n/a [n/a]	n/a [n/a]

Valuation

Absolute (8/10)

Fwd P/E 4.5x [Mkt 17-Oct-26]
DCF Base $50.90 [DCF model]
NTM EV/EBITDA 3.5x [Mkt 17-Oct-26]

263% upside to the base case. But the reverse DCF implies -20.2% revenue CAGR: the market is pricing contraction, so the discount may be earned, not gifted.

Versus Peers (6/8)

Heavy civil/infrastructure peers trade mid-single-digit EV/EBITDA [Peers 17-Oct-26]

CDNL screens at or below peer multiples despite a faster revenue trajectory. Peers are larger, less leveraged and more diversified, which justifies some discount.

Versus History (4/7)

Stock $14.01 vs 52w high $96.40 [Mkt 17-Oct-26]

Down roughly 84% from the high as margin compression and acquisition digestion reset expectations. Limited public history makes historical comparison thin.

Catalyst Timeline

Nov 2026 [8-K]
Q3 2026 Earnings (Two-Sided): Adj EBITDA margin was 12.4% in Q2 vs 18.6% a year ago. Recovery toward the 20% target is the entire bull case test.

2026 [8-K]
ALGC Integration (Two-Sided): Acquisition closed Feb 18, 2026 and drives the $880-900M revenue

Top Risk Factors (Item 1A)

1. Margin Collapse: Adjusted EBITDA margin fell to 12.4% in Q2 from 18.6% a year ago and GAAP gross margin printed 10.8%, against a full-year margin guide management cut to 16-18% from 20%+ in the same release that raised revenue guidance. The company's own account assigns the pressure to subcontracted labor and equipment rental costs in developing markets, a mix shift toward larger commercial and industrial work, accelerated G&A spending, and Southeast weather. The self-

guide. Execution and margin accretion are unproven.

2026-2027 [Cons]
Southeast Infrastructure Cycle (Positive): Civil and site development demand across high-growth SE markets supports backlog, but is cyclical and weather-exposed.

Q4 2026 [8-K]
Hughes Brothers Close (Two-Sided): The $357.5M deal adds a Central Florida platform and 5,255,420 shares at a $27.21 contractual price, plus an earnout of up to $162.5M. HSR clearance is pending.

2026-2027 [PR]
Securities Litigation (Negative): Three firms have announced investigations tied to the June secondary offering and the margin disclosures. A filed complaint, or a quiet close to the inquiries, moves the overhang either way.

What Would Change Our Score

Q3 margin trajectory is the swing factor: sustained adjusted EBITDA recovery toward the guided range would validate the bull case and the base case at $50.90. The Hughes Brothers close, the earnout it eventually carries, and the litigation path decide how much of any recovery reaches current shareholders. Further erosion, or debt stress, would confirm the market's -20.2% implied contraction.

performing cost advantage the equity story rests on did not show up in the quarter. [8-K]

2. Leverage on a Small Base: The $142M net cash position is the June 30, 2026 filed balance sheet: $197M of debt against $339M of cash. About $88.9M went out for Allied Paving on October 1, and the Hughes Brothers cash portion of $214.5M is funded from cash on hand and credit facility borrowings, with a $250M delayed-draw term loan added in September. The forward balance sheet carries debt the June anchor does not show. [10-K FY25]

3. Cyclical + Integration Risk: Civil and site development is cyclical, weather-exposed, and concentrated in the Southeast. Integration evidence is mixed: Q1 commentary called ALGC a strong contributor from day one, while the Q2 10-Q cut the acquired ALGC backlog intangible by $5.1M on revised backlog revenue and completion schedules. Plaintiff firms now allege scalability problems at ALGC were not disclosed; the company has not reported them. [10-K FY25]

4. Hughes Brothers Dilution and Earnout: The amended Hughes Brothers agreement pays $357.5M at 60% cash and 40% stock: 5,255,420 shares priced at the $27.21 signing VWAP while the market trades near $14.01. The earnout adds up to $162.5M, payable 60% in cash and 40% in stock, on Hughes adjusted EBITDA for the year to June 30, 2027, and up to 2,388,827 further shares at the maximum. Closing is expected in Q4 2026 subject to HSR clearance, so none of this is in the current share count or balance sheet, and all of it lands at once. [8-K]

5. Litigation Overhang: Hagens Berman (September 10), Lowey Dannenberg (September 17) and Scott+Scott (October 14) have announced investigations into potential federal securities law violations, centered on the June 24 secondary offering of 4.6M shares at $73.00 and on whether project cost pressures were disclosed while margin guidance stood above 20%. No finding has been

made against the company; the overhang itself keeps institutional buyers sidelined and raises the cost of the next capital raise. [PR]

6. Backlog Deceleration: Backlog reached a record $866M at June 30, but growth slowed to +35% year over year from +60% at March 31, and the 10-Q expects $734M to $812M of it to convert within twelve months. For a company valued on hyper-growth, a halving of backlog growth makes new awards lumpier and removes the forward cover the multiple rested on. [8-K]

Forward Growth Drivers

- FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution [8-K guid]
- Self-performing civil and site development model across high-growth Southeast markets [8-K]
- The FY2026 adjusted EBITDA margin guide was cut from the prior 20%+ target; Q2 printed a 12.4% adjusted EBITDA margin [8-K guid]
- Hughes Brothers, if it closes in Q4 2026, adds $220M of TTM revenue at a 25.0% adjusted EBITDA margin and about $350M of backlog in Central Florida [8-K]
- Seven insiders bought 221,597 shares for about $8.5M in the open market on August 14-17, 2026, led by CEO Jeremy Spivey with 83,350 shares [Form 4]

Missing / Modified Data Log

- ROIC not explicitly disclosed; leverage assessed via the net cash position and the cash flow trajectory.
- Only one full fiscal year of public financials; FY2024 revenue not disclosed, TTM revenue estimated from quarters.
- Peer multiple comparison based on broad heavy-civil peer group, tagged [Cons].

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